Opinion: Abandon ‘most favoured nation’ at your peril

The EU and United States are both calling for a review of the WTO’s ‘most favoured nation’ rule.

But the proposals could poison relations with developing countries, jeopardise talks on WTO reform and risk undermining a major plank of the multilateral world order.

The WTO’s ‘most favoured nation’ rule – the principle that you do not discriminate between countries – used to be an obscure technical rule, familiar only to trade wonks and diplomats.

No longer. Today, by rejecting the MFN principle in his trade deals, US president Donald Trump has made it an almost household term.

MFN is *the* most important single rule of the WTO, its firmest bulwark against protectionism.

Smaller countries and smaller companies vitally need its predictability and guarantee of equal treatment when their goods cross borders. It is a major trade facilitation measure.

I was one of Hong Kong’s trade negotiators during the GATT Uruguay Round, which ended in 1994. For a middle-sized economy, preserving MFN was an existential question. Non-discrimination protected us from the law of the jungle.

So we fought for MFN in the safeguards area where the EU wanted to impose “selectivity”.

Above all we fought to stop unilateral measures by the US. A big achievement of the Uruguay Round was Washington agreeing to put its discriminatory trade treatment under Section 301 of the Trade Act under multilateral constraint. Notably MFN.

Why non-discrimination is important

MFN’s significance stretches far beyond trade.

Non-discrimination is at the core of international human rights laws and our most cherished values, whether it concern race, religion, colour, gender or sexual orientation.

The WTO does not operate in a vacuum. To pull at the thread of MFN in the WTO will have repercussions beyond trade. It is not coincidental that the US' disregard for MFN in the WTO sits with its broader rejection of the rules-based international order.

Now the EU has followed the US by [tabling a proposal (https://borderlex.net/2026/01/21/wto-eu-also-calls-for-rethink-of-mfn-principle/)](https://borderlex.net/2026/01/21/wto-eu-also-calls-for-rethink-of-mfn-principle/) to "reform" the WTO for discussion at the WTO ministerial meeting – MC14 – in late March.

The EU argues that reviewing the rule is necessary because the balance of rights and concessions struck in 1995 is not the same as today.

Developing countries who were poor in 1995 and thus spared from making tariff concessions are now richer and should open their markets more.

If they don't, then the EU and others should deny them MFN treatment and punish them with higher tariffs until they acquiesce.

I am not wholly without sympathy for the EU position. It is true that some emerging economies like India, Brazil, China and others could liberalise more as their economies have prospered – albeit China does not apply high tariffs but subsidises exports unfairly.

Cure the disease, kill the patient

But ditching MFN, would, as Francis Bacon said, "cure the disease and kill the patient".

First, we should welcome the fact that many developing countries have become more prosperous. That is what the WTO was meant to do. We should avoid the impression of wanting to move the goalposts as soon as the other side gets into the penalty area.

Is it the right approach to change rules that have led to global prosperity the moment they don't suit you?

Secondly, the US and EU proposals will be read as an attempt to get *ex-post* blessing on the illegal, MFN-junking deals the US has coerced others into signing.

Three, there are already ample exceptions to MFN – the GATT national security and other exceptions, the exception for free trade agreements, the WTO enabling clause that allows discrimination to help poor countries, the right to discriminate against products exported via unfair trade practices like subsidies or dumping – this deals with China. The system embodies great flexibility already.

Four, feasibility. Irrespective of the economic case for modulating MFN, the EU's proposal is politically a non-starter.

Most WTO members will simply not agree to it because they have no incentives to do so. WTO negotiations work through incentives. Unless and until the EU puts agricultural market access on the table there will be no negotiation on tariffs to rebalance the Uruguay Round outcome.

Finally, timing. A month before MC14, and at the moment when Trump has taken a wrecking ball to MFN, it is myopic for the EU to question the principle if it genuinely wants rational debate on WTO reform. This is surely the moment to reaffirm MFN, rather than undermine it.

A dog walking on its hind legs

Nothing is more certain to frustrate a reform debate than to suggest doing away with non-discrimination.

Ironically, China is now occupying the moral high ground with a clever submission on reform which defends MFN!

Why did the European Commission not hold their fire or at least use less inflammatory words? Did someone put this into their proposal to strangle the whole WTO reform debate at birth?

To paraphrase the remark from Doctor Johnson: seeing the EU propose to revisit MFN "is like a dog walking on its hind legs. It is not done well, but you are surprised to find it done at all".

But the rot started before Trump. The EU and the WTO are in many ways mirror images of each other. The Uruguay Round rules were partly shaped by and in turn greatly shaped the European single market. MFN, and its sister WTO rule 'national treatment', are at its core.

Two years ago the EU fundamentally breached its single market and the MFN principle by **allowing some of its member states to block Ukrainian imports (https://borderlex.net/2023/09/19/ukraine-brings-polish-hungarian-slovak-import-bans-to-wto/)**. Instead of taking those member states to court the commission condoned it – and continues to do so today.

More recently the EU breached MFN by **granting the US tariff-free treatment for industrial goods (https://borderlex.net/2025/08/21/eu-us-joint-statement-on-trade-a-detailed-summary/)**. So EU credibility is very low on the MFN issue.

Strategic ignominy

Much of the world will view the EU's proposal very cynically.

Developing countries will not agree to reopen MFN, especially since it is linked to other ideas such as revisiting developing country status or moving away from the WTO's principle of consensus decision-making. This is a poisonous cocktail.

So abandon MFN at your peril, particularly as the EU slowly descends from great power to middle power status, when it will need MFN more than ever.

Let's end with a line from Joni Mitchell's song Big Yellow Taxi, which carries a good warning about tampering too freely with MFN.

"Don't it always seem to go, that you don't know what you've got till it's gone?".

*(https://borderlex.net/wp-content/uploads/2024/01/2024-01-30-JOHN-CLARKE.jpg)**John Clarke** is a former Director for International Relations at the European Commission and senior EU trade negotiator. He previously headed the EU Delegation to the WTO and UN in Geneva.*